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Greece: Piraeus Bank Capital Injection, 2015¹

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Yale Program on Financial Stability Case Study

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Abstract

Greek banks experienced heavy deposit outflows from December 2014 through June 2015, which led Greece to declare a bank holiday from June 28, 2015, until July 18, 2015. Greek banks' reliance on liquidity assistance from the Eurosystem began in August 2011, with a second peak in 2015; emergency liquidity assistance was fully repaid in 2019. The European Central Bank's Single Supervisory Mechanism, responsible for banking supervision in Europe, conducted a stress test and asset quality review of the four large Greek banks and identified a capital shortfall of EUR 4.7 billion for Piraeus Bank (the Bank) in October 2015. To cover this capital shortfall, in December 2015, the Hellenic Financial Stability Fund (HFSF), a private legal entity working to maintain the stability of the Greek banking system, recapitalized the Bank. The HFSF injected EUR 2.72 billion in European Stability Mechanism Notes and acquired EUR 680 million in ordinary shares and EUR 2.04 billion in contingent convertible capital instruments (CoCos) which gave the HFSF a 26% stake in the Bank. In November 2015, the Greek Parliament amended two laws to specify characteristics of the injection and allow recapitalization, and the European Commission approved a recapitalization and revised restructuring plan, which had been previously approved in July 2014. By December 1, 2015, the European institutions (European Commission, European Central Bank and European Stability Mechanism) had all approved the Greek plan to further recapitalize and restructure Piraeus Bank. In 2021, the Bank did not make the annual CoCos' coupon payment after previously missing a payment in 2018, so the CoCos converted into shares and the HFSF became the majority shareholder of the Bank. By the end of the year, the Bank sold shares in a public offering, leading to a reduction in the HFSF's stake to 27%.

Keywords: bail-in, capital injection, Piraeus Bank, Sovereign Debt Crisis

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc capital injections. A survey of all the cases in this series (Rhee, Hoffner, et al. 2024) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss3/>. Rhee, Oguri, et al. (2022) surveys broad-based capital injection programs.

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Overview

This case study describes the recapitalization of Piraeus Bank (the Bank) in 2015 through an ad hoc capital injection (EC 2015b).

As part of the third economic adjustment program (EAP) in Greece,³ in October 2015, a comprehensive assessment by the European Central Bank's (ECB) Single Supervisory Mechanism (SSM) identified a capital shortfall of EUR 4.66 billion⁴ at Piraeus Bank (EC 2015b; EC 2015a). The assessment examined four significant Greek banks using data from June 2015. It included an asset quality review and stress test, examining a baseline and an adverse scenario (ECB 2015b). Following the assessment, the European Union (EU) required the banks to submit plans to cover their capital shortfalls (ECB 2015a).

In November 2015, the Bank raised EUR 1.94 billion from private investors to cover the capital needs under the baseline scenario in the SSM's stress test. Of this EUR 1.94 billion, EUR 602 million came from a liability management exercise (LME), in which Tier 1, Tier 2, and senior notes were converted into ordinary shares (EC 2015b; EC 2015a).

By December 1, 2015, the European Commission (EC), ECB, and European Stability Mechanism (ESM) had all approved a Greek plan to further recapitalize and restructure Piraeus Bank while keeping it open (EC 2015b; EC 2015a).

Key Terms

Purpose: To cover the capital shortfall identified by the European Central Bank's Single Supervisory Mechanism

Announcement Date November 4, 2015

Operational Date December 2015

Date of Final Capital Injection Only injection was in December 2015

End Date The HFSF became the majority shareholder of Piraeus Bank in January 2021

Source of Funding EUR 2.72 billion was made available for a capital injection through the HFSF

Administrator The HFSF was responsible for providing Piraeus Bank with the capital injection

Size EUR 2.72 billion

Capital Characteristics The capital injection was made up of a combination of share capital and CoCos

Bail-in Terms Due to majority noteholder support, noteholders had to choose to convert their notes into newly issued ordinary shares from the capital increase or a small amount of cash, 43% of par value for senior notes and 9% for subordinated notes; the newly issued shares were 50% of par value for Tier 2 subordinated notes and 100% for Tier 1 and senior notes *(continued)*

³ The third EAP was prompted by deposit outflows at Greek banks from December 2014 to June 2015 (Andruszkiewicz et al. 2020; Piraeus 2016). The Greek government and the EU signed the three-year EAP agreement on August 19, 2015; the agreement's objective was to preserve financial stability and strengthen the banking system in Greece (ECB 2015b; European Council n.d.).

⁴ The SSM initially found a capital shortfall of EUR 4.93 billion; this was decreased to EUR 4.66 billion when the Bank's Q3 2015 realized pre-provision profit exceeded its respective projected profit used by the SSM when calculating the Bank's baseline scenario (EC 2015b; EC 2015a).

The restructuring plan was a revised version of a plan the EC had approved in July 2014 and included efforts to integrate recently acquired Greek banking activities through a reduction of operating expenses, increasing net income, and risk management. The plan also provided for downsizing of the Bank's international operations and was to be monitored by an independent trustee per Directorate-General for Competition rules regarding restructuring following the reception of state funding (EC 2014; EC 2015b).

Outcomes	The book value of HFSF's stake in the bank was EUR 1.8 billion at the end of 2022. The Greek government still owed the ESM EUR 2.72 billion for the HFSF's purchase of the stake in Piraeus Bank
Notable Features	Piraeus Bank was required to raise enough capital privately to cover the baseline scenario identified by the SSM

The recapitalization plan included a capital injection from the Hellenic Financial Stability Fund (HFSF), using ESM funds, to cover the remaining EUR 2.72 billion needed under the SSM's adverse scenario (EC 2015b). The HFSF was established by the Greek government, the EU, the International Monetary Fund (IMF), and the ECB in 2010 as a private legal entity working to maintain the stability of the Greek banking system (HFSF n.d.a). The capital injection took place in December 2015. The HFSF funded the purchase with EUR 2.72 billion in ESM notes⁵ and received EUR 680 million in ordinary shares and EUR 2.04 billion in new contingent convertible capital instruments (CoCos) from the Bank (ESM n.d.; HFSF 2016a; Piraeus 2015c).

In 2018 and 2020, the Bank missed interest payments on the CoCos held by the HFSF, causing the CoCos to convert to equity and increasing the HFSF's shareholding from 26.4% to 61.3% in 2020 (HFSF 2023; Piraeus 2018). The CoCos' terms stipulated that they would convert if the Bank missed any two coupon payments during their lifetime (ESM n.d.; HFSF 2016a). The Bank missed the 2018 payment to save up capital (Piraeus 2018). The SSM and ECB did not authorize the Bank's 2020 coupon payment because of the recommendation to European banks to "not distribute capital" during the COVID-19 crisis. (Davies 2020). In 2021, the Bank increased its share capital through a public offering to investors, resulting in the HFSF's participation in the Bank's share capital declining to 27% (HFSF 2022). As of 2023, the HFSF owned 27% of Piraeus Bank (HFSF 2023). The book value of that stake was EUR 1.8 billion at the end of 2022. The Greek government still owed the ESM EUR 2.72 billion for the HFSF's purchase of the stake in Piraeus Bank. Figure 1 shows a timeline of key events.

⁵ ESM notes are loans from the ESM made to an ESM member to provide financing (ESM n.d.). Greece is supposed to repay these loans from 2034 to 2060 (ESM n.d.).

Figure 1: Timeline of the Recapitalization and Restructuring of Piraeus Bank

Date	Event
Aug. 19, 2015	The third economic adjustment program in Greece begins.
Oct. 15, 2015	The Bank launches the 2015 LME in an exchange offer to its noteholders.
Oct. 31, 2015	The SSM releases the results of its stress test, finding a capital shortfall of EUR 4.66 billion at the Bank.
Nov. 2015	Throughout November, the Bank privately raises EUR 1.34 billion through a share capital increase.
Nov. 4, 2015	Noteholders vote to make the LME exchange mandatory.
Nov. 6, 2015	The Bank announces the results of the noteholder vote.
Nov. 27, 2015	The Bank completed the LME.
Nov. 29, 2015	The EC approves the Greek recapitalization and restructuring plan.
Dec. 2015	The HFSF recapitalizes the Bank with EUR 2.72 billion, funded by an ESM loan.

Source: Author's analysis.

Summary Evaluation

In December 2015, after the recapitalization and restructuring, Standard & Poor's Rating Services (S&P) only marginally raised the Bank's long-term counterparty credit rating, from D (default) to SD (selective default). The rating agency projected the Bank would still be unable to completely fulfill its deposit obligations on time because of Greek government capital controls (Reyes 2015). In August 2016, the S&P upgraded its rating for Piraeus from SD to CCC+ after the Greek government relaxed its capital controls (Badkar 2016).

In the Bank's 2015 Annual Report the Chairman's letter to the shareholders discusses the recapitalization of the Bank as well as the three other systemic banks assessed by the SSM. The Chairman's letter says that the "recapitalization created significant additional capital reserves" and that this improved the resilience of the Greek banks' balance sheets. This letter also gives numbers for the overall recapitalization of the four banks, EUR 10 billion was raised through the issuance of common stock (of which EUR 8 billion came from the private sector) and EUR 4 billion was absorbed by the banks in the form of CoCos from the HFSF. The letter puts the overall contributions of the HFSF at EUR 5.4 billion for the four banks. The recapitalization stabilized conditions for the Greek banking sector and the Bank and in December 2015, the Bank recorded a slight deposit inflow (Piraeus 2016).

An EC paper looking at all three economic adjustment programs in Greece found that the approach of safeguarding the four systemically important banks and concentrating state support on these banks was sound. The same paper states that the "financial stability of the banking system was preserved" and all individual depositors were preserved, calling this a "positive outcome" (Andruszkiewicz et al. 2020, 112).

An ESM paper evaluating their Financial Assistance to Greece concluded that the ESM program succeeded in stabilizing the economy of Greece and laid the foundation for longer-term reform, measures to address the financial sector weaknesses largely restored confidence and financial stability in Greece but lacked the foundations for medium-term growth. The paper also noted that the ESM and European Financial Stability Fund programs increased the resilience of the banking sector although the shock-absorbing capacity remained weak. In its conclusions, the paper additionally highlighted that ensuring the success of the Greek program was fundamental in restoring confidence in the currency (ESM 2020).

Context: Greece, Piraeus Bank, 2014–2015	
Assets	EUR 89.3 billion as of Dec. 31, 2014 EUR 87.5 billion as of Dec. 31, 2015
Liabilities	EUR 82.1 billion as of Dec. 31, 2014 EUR 77.5 billion as of Dec. 31, 2015
Deposits	EUR 38.1 billion as of Dec. 31, 2014 EUR 39.0 billion as of Dec. 31, 2017
Tier 1 Ratio	12.4% as of Dec. 31, 2014 17.8% as of Mar. 31, 2017
Nonperforming Loans	Unavailable
Market Share	29% of lending market as of Dec. 31, 2014 30% of lending market as of Mar. 31, 2017
Banking System, % of GDP	Unavailable
<i>Source: Piraeus 2016.</i>	

Key Design Decisions

1. Purpose: To cover the capital shortfall identified by the European Central Banks's Single Supervisory Mechanism.

On October 31, 2015, the ECB's SSM carried out a comprehensive assessment of four Greek banks to evaluate whether they were adequately capitalized. This assessment identified a capital shortfall of EUR 4. billion for the Bank. Of this, the Bank covered EUR 1.94 billion through private means, including existing creditors voluntarily exchanging their notes for new shares and acquiring new investors through a share capital increase. The money raised through private means covered the Bank's capital needs calculated based on the baseline scenario under the SSM's assessment. The HFSF covered the remaining capital needed for the adverse scenario under the SSM's comprehensive assessment through a capital injection (EC 2015b).

2. Part of a Package: Piraeus Bank went through restructuring in tandem with the recapitalization.

Greek authorities combined the recapitalization of the Bank with a restructuring plan. This restructuring plan had been approved by the EC in July 2014. The EC then approved a revised version of this plan along with the recapitalization plan in November 2015. By December 1, 2015, the European institutions (European Commission, European Central Bank and European Stability Mechanism) had all approved a Greek plan to further recapitalize and restructure Piraeus Bank (EC 2015b; EC 2015a).

3. Legal Authority: The Greek Parliament approved amendments to existing legislation and the Greek government sought approval from the European Commission.

The Greek Parliament approved two legislative amendments in November 2015, so that the HFSF could recapitalize the Bank as well as three other systemically important banks. The two pieces of legislation amended by the Greek Parliament were the HFSF law and Cabinet Act No. 36. These revised laws established that HFSF capital injections would be 25% ordinary shares and 75% contingent convertible capital instruments (CoCos) except in the case of resolution, in which case all recapitalization would be in ordinary shares (EC 2015a). According to sources at the ESM, the nuanced decision of how many ordinary shares versus CoCos to issue considered that issuing too many ordinary shares could mean the nationalization of the Bank. CoCos act as a buffer but are more expensive as they come with high-interest coupons that can reduce the bank's profit. If the Bank misses two interest payments a conversion is triggered, and the bonds turn into ordinary shares which can dilute the current shareholders control and can reduce the share value.

In part because of the EU's State Aid rules, Greece needed approval before injecting capital into the Bank and recapitalization had to be accompanied by restructuring. The EC approved the capital injections on November 29, 2015 (EC 2015b; EC 2015a). In their decision the EC

took into account that the Bank's challenges did not come from excessive risk taking but from overall uncertainty in Greece.

4. Administration: The Hellenic Financial Stability Fund recapitalized the Bank.

The Greek authorities and the Bank submitted the restructuring and recapitalization plan to the EC who approved a capital injection to the Bank from the HFSF. The HFSF was responsible for monitoring the book building process for raising private capital. To obtain private investments the Bank asked the HFSF to act as a backstop, underwriting a capital increase. Having an underwriter is essential to successful recapitalization and needs to be done on private market terms to be considered legal state aid (EC 2015a). The role of the HFSF is to support the maintenance of the Greek system's financial stability in the public interest (HFSF n.d.a).

5. Governance: The Hellenic Financial Stability Fund was created by and subject to the European Union and the Greek Government.

The funding for capital injections came from the HFSF which was established by the Greek government, the EU, the IMF, and the ECB after they signed the Memorandum of Understanding on Specific Economic Policy Conditionality in 2010 (EC 2015a). The HFSF is a private legal entity and does not belong to the public sector, although it is funded by the Greek Government (HFSF n.d.a). As of the second economic adjustment program all HFSF funding came from the ESM. A selection panel selects the members of the Executive Board and the General Council of the HFSF. This panel is made up of a chairman and two additional members appointed by the EC, the ECB, and the ESM, two members appointed by the Minister of Finance, and one member appointed by the Bank of Greece (HFSF n.d.b). The EC and the ESM also had observers on the HFSF's Executive Board and Governing Council.

A Monitoring Trustee, appointed by the Bank and approved by the Commission was to monitor the commitments made by Greece and the Bank in the corresponding State Aid restructuring plan (EC 2015a).

6. Communication and Disclosure: Communication came from the European Commission, Piraeus Bank, and the Hellenic Financial Stability Fund at different points in the process.

The EC issued a press release announcing their approval of the recapitalization and restructuring plan on November 29, 2015 (EC 2015b). However, in the EC's State Aid report information is omitted "concerning non-disclosure of information covered by professional secrecy" (EC 2015a, 1).

On November 4, 2015, the Bank released a presentation containing information about their recapitalization plan to cover the capital shortfall identified by the SSM. This presentation included details pertaining to recapitalization, specifically about CoCos that would be issued to the HFSF (Piraeus 2015c). The Bank also issued press releases throughout the month of November with information pertaining to the capital raising process (Piraeus 2015a; Piraeus 2015b).

The Bank provided more information about the capital injection in their 2015 annual report. According to this report, the Bank received an injection of EUR 4.6 billion in December 2015. This value included capital raised through private means and provided by the HFSF. The report said that the “recapitalization created significant additional capital reserves,” that this improved the resilience of the Bank’s balance sheet, and that in December 2015 the Bank recorded a slight deposit inflow (Piraeus 2016, 24, 26).

The HFSF’s 2015 and 2016 annual reports provided information about the aid they provided to the Bank. The 2015 report specified that they injected EUR 2.72 billion into the Bank in December 2015 (HFSF 2016a). The 2016 report included that they had received EUR 165.92 million from the CoCos’ annual coupon (HFSF 2017).

7. Treatment of Creditors and Equity Holders: Existing note holders had the option to exchange their notes for new ordinary shares or a small amount of cash.

Existing noteholders agreed to take losses in a vote on November 4, 2015. They had a choice of converting their notes into newly issued ordinary shares or a small amount of cash. New shares were worth 50% of par value for Tier 2 subordinated notes and 100% for Tier 1 and senior notes; the amount of cash was around 9% of par value for subordinated notes and 43% for senior notes. This was mandatory following majority support in a vote of noteholders on November 4, 2015 (EC 2015a).

8. Capital Characteristics: The capital injection was 25% in the form of ordinary shares and 75% in contingent convertible capital instruments.

The HFSF acquired EUR 680 million in ordinary shares and EUR 2 billion in CoCos. It funded its investment by issuing EUR 2.7 billion in ESM notes to the Bank (ESM n.d.; HFSF 2016a).

The Bank specified the characteristics of the CoCos issued to the HFSF during their November 4, 2015, presentation as appears in Figure 2 (Piraeus 2015c).

Figure 2: Contingent Convertible Bonds issued to the Hellenic Financial Stability Fund

Term	Perpetual
Ranking	On par with common equity and junior to the claims of all creditors including subordinated debt
Basel III Classification	Common Equity Tier 1
Coupon	Initial 7 years: 8% Post 7 years: Prevailing 7 year Mid-swap rate + 8% less 7 year Mid-swap rate at issuance
Payment of Interest	Annual, fully discretionary, paid in cash or shares, no dividend paid on issuer's common stock if issuer decides not to pay the previous coupon in full
Conversion Events	Securities automatically convert into ordinary shares if: • At any time the CET1 Ratio calculated on a consolidated basis or a solo basis falls below 7% • Two annual coupons are missed (doesn't need to be consecutive) Optional to the holder at the 7th anniversary of issuance
Conversion Consideration	The number of common shares issued on conversion is determined as 116% of the nominal amount of the outstanding securities divided by the conversion price which will be equal to the offer price subject to market standard adjustments in the event of certain corporate actions
Option to Repay	The issuer may at its discretion repay all or some of the bonds at any time at their initial price amount plus any accrued and unpaid interest, unless canceled
Transferability	Transferable by the HFSF to another holder with the consent of the issuer and the regulator

Source: Piraeus 2015c.

9. Size and Source of Funding: Funding for capital injections came from the Hellenic Financial Stability Fund.

The EC approved a capital injection of EUR 2.72 billion from the HFSF in November 2015 (EC 2015a). The Bank reports that they received an injection of EUR 4.6 billion in December 2015; this value includes capital from private means and from the HFSF (Piraeus 2016). According to the HFSF, they contributed EUR 2.70 billion in ESM notes to the Bank to fulfill their capital needs and received EUR 680 million in ordinary shares and EUR 2.04 billion in CoCos (HFSF 2016a).

The funding for capital injections came from the HFSF (EC 2015b). The Greek government, the EU, the IMF, and the ECB signed the Memorandum of Understanding on Specific Economic Policy Conditionality in 2010, which led to the establishment of the HFSF (EC

2015a). The HFSF gets its funding from the Greek Government but is a private legal entity and does not belong to the public sector. The objective of the HFSF is to “contribute to the maintenance of the financial stability of the Greek banking system for the sake of public interest” (HFSF n.d.a).

10. Timing: The 2015 capital injection took place in the first year of the third Economic Adjustment Program in Greece.

From 2010 to 2018, Greece implemented three Economic Adjustment Programs (Andruszkiewicz et al. 2020). The third program began on August 19, 2015, and ran until August 20, 2018 (European Council n.d.).

The HFSF’s capital injection into the Bank took place during the third Economic Adjustment Program. On October 31, 2015, the ECB identified the capital shortfall. The Bank raised capital privately throughout October and November (Piraeus 2015a; Piraeus 2015b; Piraeus 2015c). On November 29, the EC approved the recapitalization and restructuring plan for the Bank (EC 2015b). In December 2015, the HFSF injected EUR 2.72 billion into the bank (HFSF 2016a).

Following the capital injection, the HFSF was supposed to receive annual coupons for their CoCos from the Bank (Piraeus 2015c). In December 2016, the HFSF received EUR 165.92 million of income from the CoCos’ annual coupon (HFSF 2017). In announcements on October 30, November 12, and November 16, 2020, the Bank informed their investors of a possibility that the ECB would not approve the Bank’s request to pay the CoCos annual coupon of EUR 165 million to the HFSF (Piraeus 2020a). The Bank had previously missed an interest payment in 2018 (Piraeus 2018). On November 23, 2020, the Bank announced that the Governing Council of the ECB had not approved the Bank’s request and the HFSF would become the majority shareholder when their EUR 2.04 billion in CoCos converted to ordinary shares (Piraeus 2020b). On the same day the HFSF announced that as the majority shareholder of Piraeus Bank, they would facilitate the Bank’s return to private sector ownership and continue to support the current board of directors and executive management team (HFSF 2020). On January 15, 2021, the HFSF announced that they had officially become the majority shareholder of the Bank (HFSF 2021).

11. Restructuring: Restructuring and recapitalization were proposed to and approved by the European Commission simultaneously.

The EC approved the capital injection “on the basis of an amended restructuring plan” (EC 2015b). The EC had approved a restructuring plan in July 2014 that was updated, resubmitted, and approved by the EC in tandem with the recapitalization plan in November 2015. A Monitoring Trustee, appointed by the Bank and approved by the EC was to monitor the commitments made by Greece and the Bank in the restructuring plan (EC 2015a). Greek authorities made additional commitments in the Memorandum of Understanding.

Of the capital needs found by the SSM’s comprehensive assessment, the Bank was required to privately raise enough capital to cover the identified baseline scenario to avoid resolution under the Bank Recovery and Resolution Directive (BRRD) provisions. In total, the Bank

covered EUR 1.94 billion through private means. This included “existing creditors through voluntary exchange of their notes for new shares, and new investors through share capital increase” (EC 2015b). The EC approved capital injections to cover the identified stressed scenario.⁶

12. Treatment of Board and Management: The Hellenic Financial Stability Fund had a presence in Piraeus Bank’s Management.

The HFSF had a non-executive member representative on the Bank’s Board of Directors. In accordance with the Memorandum of Understanding signed in August 2015, the HFSF introduced a program to review the Boards and Committees of Piraeus Bank which was completed in 2016. This program evaluated the size, operation, organization, structure, and the allocation of powers within the Boards and Committees (HFSF 2016b).

13. Other Conditions: Piraeus Bank was required to raise enough capital privately to cover the baseline scenario identified by the Single Supervisory Mechanism.

Of the capital needs found by the SSM’s assessment, the Bank was required to privately raise enough capital to cover the identified baseline scenario. In total, the Bank covered EUR 1.94 billion through private means. This included “existing creditors through voluntary exchange of their notes for new shares, and new investors through share capital increase” (EC 2015b).

14. Regulatory Relief: Research has not revealed if regulatory relief was granted to facilitate the injection.

Research has not revealed any examples or evidence of regulatory relief granted to facilitate the injection.

15. Exit Strategy: The aid injected into the Bank was intended to be temporary.

The EC’s approval of a capital injection was based on the intention that this aid was “precautionary and temporary” (EC 2015a, 27). The aid was supposed to improve the resilience of the Bank’s balance sheets to withstand macroeconomic shocks (EC 2015a). The temporary nature of the aid was insured by 75% of aid being granted through the HFSF being CoCos. The EC expected the Greek State to recoup the capital through privatization of the Bank or other means (EC 2015a).

In announcements on October 30, November 12, and November 16, 2020, the Bank informed their investors of a possibility that the ECB would not approve the Bank’s request to pay the HFSF’s CoCos’ annual coupon of EUR 165 million in cash (Piraeus 2020a). In November 2020, the ECB did not make the necessary approval of the Bank’s request to pay the HFSF’s CoCos’ annual coupon in cash due to the recommendation to European banks to “not distribute capital” during the Covid-19 crisis (Davies 2020; Piraeus 2020b). When the ECB denied the Bank’s request the Bank’s Board of Directors cancelled the CoCos’ interest payment. This meant that the HFSF’s EUR 2.04 billion in CoCos would convert to ordinary shares and the

⁶ A full account of the restructuring of Piraeus Bank is detailed in Schaefer-Brown (2024).

HFSF would own 61% of the Bank's shares. In January 2021, the HFSF became the majority shareholder (HFSF 2021). The HFSF said that as the majority shareholder of Piraeus Bank they would facilitate the Bank's return to private sector ownership during 2021, while continuing to support the current board of directors and executive management (HFSF 2020). In spring 2021, the Bank's Board of Directors announced their intent to engage in a share capital increase with the HFSF which ended with the HFSF's participation in the Bank's share capital at 27% (HFSF 2022).

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